After the wave ② correction of 1984 had run its course, *The Elliott Wave Theorist* returned to that momentum study in January 1985 and reaffirmed its implication: "Any time an oscillator retreats to *moderately* oversold territory after an *extreme* overbought condition has been reached in a normal cyclical manner, the market is almost always on the verge of another significant advance." Advance it did, nonstop for over three years.

DIVERGENCE

As described briefly above, what distinguishes the overbought condition at a top from that at the start or middle of a trend is a *slowing* in the rate of advance and a thinning in breadth. Such occurrences are called "divergences" because they produce a divergence of direction between rate-of-change and breadth indicators and the market's price averages. The stock market *always* slows down and becomes thinner before reversing from an uptrend to a downtrend. Kickoffs and mid-trend accelerations typically show no such divergences, while top formations display them in countless ways.

On a long term basis, the momentum condition of today's stock market has been anticipated for over a dozen years. Here is the description from the December 1982 *Elliott Wave Theorist* concerning what to look for at the top:

> [It is] my expectation that wave V will register a lesser overbought condition than did wave III in 1966. A few years from now, a lower peak in the rate of change *against higher highs in the market* is expected to give a typical "sell" signal of the type so often used in shorter term divergence analysis.

The 20-year rate of change in Figure 9-2 shows exactly that situation in place today: a mammoth divergence between today's overbought condition and that of 1962. As long as the market does not accelerate dramatically enough to bring that rate of change to a new high, this indicator is and will remain compatible with the case that the stock market is creating a top of at least Supercycle degree, because that is the degree of the slowing of upside momentum.

Let's examine the 10-year rate of change in the DJIA to see if the bull market has been slowing at Cycle degree. First study each of the extreme overbought conditions in this measure over the past 150 years shown in Figure 9-4. There have been four extreme